



PAKISTAN MUCCADAM ASSOCIATION

REPRESENTING MUCCADAMS • PROMOTING INTEGRITY • ENSURING TRUST

JOINT REPRESENTATION OF MUCCADAM COMPANIES TO BANKS

SUBJECT: URGENT REVIEW OF MUCCADAM CHARGES AND OPERATIONAL CHALLENGES

We, the undersigned Muccadam Companies, have been serving the banking industry for decades and have consistently safeguarded pledged stocks and protected banks from substantial losses. Despite increasing responsibilities, enhanced compliance requirements, and rising inflation, Muccadam charges have remained largely unchanged for nearly a decade.

KEY CONCERNS

1. That the current charges of Rs. 30,000–40,000 per pledge site are below the minimum market salary of a single Godown Keeper, which is approximately Rs. 45,000 per month. A sustainable charge for deployment of a single Godown Keeper should range between Rs. 80,000–100,000 per pledge site per month.
2. That substantial increases in salaries, transportation, office expenses, supervision, and compliance costs have rendered the existing fee structure commercially unviable.
3. That many pledge sites lack proper accommodation and food arrangements, particularly in remote areas, resulting in additional financial burdens on Muccadam Companies.
4. That declining business volumes and increased security deposit requirements have adversely affected profitability and sustainability. Awarding business solely on the basis of the lowest quotations has led to commercially unviable rates and compromised service quality.
5. That Muccadam Companies face increasing legal, financial, and operational liabilities including FIRs, litigation, recovery losses, and indemnity claims often arising from customer-led stock lifting without Muccadam involvement. Despite this, Muccadam Companies bear the entire burden of legal proceedings and related costs without bank support and are frequently subjected to suspension, blacklisting, and adverse inter-bank feedback, causing severe reputational damage. Given the substantial security deposits at stake, it is neither logical nor commercially rational for any Muccadam Company to risk its investment, business continuity, or reputation for minor financial gains.

6. That the bank should also realize that the prevailing fee structure of Rs. 30,000–40,000 per pledge site severely restricts the ability of Muccadam Companies to deploy competent, experienced, and reliable godown keepers.
7. That further to all the above facts, we would present that the financial impact of a single stock discrepancy/misappropriation/theft, litigation, or recovery delay of said pledge stock (which worth millions / billions in rupees) far exceeds the incremental cost of revising Muccadam charges. Investing in sustainable Muccadam services is a cost-avoidance measure rather than an expense.

IN OTHER WORDS, > From a cost–benefit perspective, the cost of revising Muccadam charges is minimal compared to the potential financial and reputational losses arising from even a single stock-related incident.

8. That banks increasingly require trained and experienced personnel, which cannot be recruited and retained under the current charges.
9. That a stronger collaborative approach between banks and Muccadam Companies is essential for effective pledge management and risk mitigation.

P R A Y E R

In view of prevailing economic conditions and increased operational responsibilities, we respectfully request all banks to undertake a comprehensive review of the existing framework and revise Muccadam charges to Rs. 80,000–100,000 per pledge site per month for a single Godown Keeper, depending upon customer limits and operational requirements. We also request fair business allocation and constructive engagement with Muccadam Companies to establish a sustainable and modern pledge management system.

With highest regards,
On behalf of all participating Muccadam Companies.

Note: This document has an attachment as Annexure A, where the schedule of Muccadam Charges being paid by all the banks of the country are listed, the depicts the actual amount being paid by each bank, deduction of WHT and GST along with as per the law of the province.

The above document is jointly signed by the authorized signatories of all Muccadam companies.

M/s Tristar International Consultant (Pvt) Ltd	M/s Hunza Services
CEO, M/s IK Enterprises (Pvt) Ltd	M/s Etimad Associates (Pvt) Ltd
M/s Awan Engineers and Surveyors (Pvt) Ltd	M/s Chishti Associate Services (Pvt.) Ltd
M/s AAA Professional Pvt Ltd	M/s National Cargo (Pvt) Ltd
M/s Aman International (Pvt) Ltd	M/s Imran Traders
M/s Legend Associates	M/s Pifco Enterprises (Pvt) Ltd
M/s Harvester Services (Pvt) Ltd	M/s Aizaz Enterprises
M/s MYK Associates (Pvt) Ltd	M/s Al Macca Enterprises (Pvt.) Ltd
M/s The Custodians (Pvt.) Ltd	M/s Danish Enterprises & Construction
M/s Protection Associates (Pvt.) Ltd	M/s Professional Management Services

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M/s Imran Arish Associates (Pvt) Ltd. 	M/s Muhafiz Associates (Pvt.) Ltd
M/s Mark IV (Pvt.) Limited. 	M/s Diamond Surveyors Pakistan Pvt Ltd.
M/s Al - Wazzan Associates (Pvt) Ltd 	M/s Sakina Enterprises
M/s Sardar Enterprises 	M/s Alpha Artemis (Pvt) Ltd

Annexure A

SCHEDULE OF MUCCADAM CHARGES PAID BY EACH BANK

These are the Muccadam Charges being paid by the different banks to all the Muccadam Companies, the list includes major bank's name, along with the Schedule of Charges being paid, while after all deduction the net income paid to Muccadam companies is also defined. For bank's reference we have also provided our remarks pertaining to how the Muccadam companies are paid the amount on each pledge site.

Sr#	Banks	Schedule of Charges	GST	WHT	Net Invoice after tex deduction	Remarks
1.	Al Baraka Bank (Pakistan) Limited.	35,000	9%	Nil	Rs. 29,750/-	There is no predefined slab of charges; it all depends on the amount the Relationship Manager (RM) is willing to approve.
2.	Allied Bank Limited.	Retail customers is 40,000 and for corporate customers it is 45,000.	Nil	Nil	Rs. 40,000/- Rs. 45,000/-	The charges were revised in May 2026, under which the fee for retail customers is 40,000 and for corporate customers it is 45,000.
3.	Askari Bank Limited.	40,000	Nil	Nil	Rs. 40,000/-	Fix Charges
4.	Bank Alfalah Limited.	30,000	Nil	Nil	Rs. 30,000/-	Fix Charges
5.	Bank Al-Habib Limited.	30,000	15%	Nil	Rs. 25,500/-	Fix Charges
6.	BankIslami Pakistan Limited.	42,920	9%	Nil	Rs. 39,057/-	Fix Charges
7.	Dubai Islamic Bank Pakistan Limited.	35,000	Nil	Nil	Rs. 35,000/-	Fix Charges
8.	Faysal Bank Limited.	30,000	8%	Nil	Rs. 27600/-	Fix Charges
9.	Habib Bank Limited.	58,000	20	6	Rs. 46,526/-	Fix Charges

10.	Habib Metropolitan Bank Limited.	30,000 & 35,000	Nil	Nil	Rs. 30,000/- Rs. 35,000/-	There is no predefined slab of charges; it all depends on the amount the Relationship Manager (RM) is willing to approve.
11.	JS Bank Limited.	37,950 Included Tex	20%	6%	Rs. 28,875/-	Fix Charges
12.	MCB Bank Limited.	45,000	16%	Nil	Rs. 37,800/-	Fix Charges
13.	MCB Islamic Bank Limited.	45,000	16%	Nil	Rs. 37,800/-	Fix Charges
14.	Meezan Bank Limited.	37,500	16%	4%	Rs. 30,000/-	Fix Charges

Sr#	Banks	Schedule of Charges	GST	WHT	Net Invoice after tex deduction	Remarks
15.	National Bank of Pakistan.	20 M Limit 14,000 25 M Limit 18,000 30 M + Limit (2 Godown Keeper) 30,000	9%	Nil	Rs. 12,700/- Rs. 16,380/- Rs. 27,300/-	Fix Charges
16.	Samba Bank Limited.	34,000	18%	Nil	Rs. 28,560/-	There is no predefined slab of charges; it all depends on the amount the Relationship Manager (RM) is willing to approve.
17.	Sindh Bank Limited.	30,000	Nil	Nil	Rs. 30,000/-	There is no predefined slab of charges; it all depends on the amount the Relationship Manager (RM) is willing to approve.
18.	Soneri Bank Limited.	25,000 30,000	Nil	Nil	Rs. 25,000/- Rs. 30,000/-	Fix Charges
19.	Standard Chartered Bank (Pakistan) Limited.	30,000	Nil	Nil	Rs. 30,000/-	There is no predefined slab of charges; it all depends on the amount the Relationship Manager (RM) is willing to approve.
20.	Summit Bank Limited.	35,000	16%	Nil	Rs. 29,400/-	Fix Charges
21.	The Bank of Khyber.	25,000 Only Rice paddy 30000 onther commodities	9%	Nil	Rs. 22,750/- Rs. 27300/-	Fix Charges
22.	The Bank of Punjab.	34,800	16%	Nil	Rs. 30,000/-	Fix Charges
23.	United Bank Limited.	42,000	9%	Nil	Rs. 38,220/-	Fix Charges